INVESTMENT COMMITTEE MEMO

Kangwon Land Inc.

KRX: 035250 - Korea's only casino open to Koreans (licence to 2045), with more net cash than market cap: the market prices the casino at roughly zero

RECOMMENDATION: BUY (VALUE / EVENT-DRIVEN)

12-MO TARGET: KRW17,000 (+20%)

Reference price KRW14,180 (23-Oct-26)	52-wk range KRW13,920-19,590	Mkt cap (ex-treasury) KRW2.81tn / US$2.1bn	Net financial assets [e] ~KRW2.93tn
Dividend FY25 KRW950 (6.7%)	Largest holder KOMIR 36.27% (public 51%)	Treasury shares 7.36% (not cancelled)	Broker targets KRW18,000-20,000 (all Buy)

104%

Net financial assets per share (~KRW14,780 [e]) as a share of the price. Enterprise value is negative (about ~KRW0.12tn)

~0.9x

What the market pays for the casino resort (~KRW305bn LTM EBITDA) after a KRW0.4tn cash reserve. Listed peers 7.4x NTM; casino deals 9.2x

KRW17,300

Probability-weighted value (+22%): bull KRW24,900 / base KRW17,000 / bear KRW10,400, plus a ~6% dividend yield

Buy: a statutory monopoly priced at zero, with the controller needing the cash and new laws giving minorities a voice

−KRW0.12tn
Enterprise value: net financial assets (~KRW2.93tn [e]) exceed the KRW2.81tn market cap

0.74x
Price/book [u], the lowest in our data; Value-Up target 1.2x; 6.7% trailing yield

−KRW3.16tn
KOMIR's equity (negative): the 36% controller needs dividends; public bodies get ~55% of payouts

KRW17,000
12-month target (+20%); bull +75% / bear −27%; probability-weighted KRW17,300

25%
Bear-case probability: AML rule, levy applies, K-HIT destroys KRW1.3tn

Why now - four forces converging

- **Casino for free:** after a KRW0.4tn reserve the market values ~KRW305bn of EBITDA at ~0.9x; the peer regression implies ~KRW3.0tn for operations alone
- **Controller wants cash:** KOMIR has −KRW3.16tn of equity; Value-Up payout ≥50% / total return ≥60% met two years running; separate dividend taxation from 2026
- **New minority levers:** cumulative voting (from 10-Sep-26), 3% cap on the controller in audit-committee votes, treasury cancellation deadline ~Sep-27 [e]
- **Levy fear misdirected:** the MCST indicated a carve-out (13% mine fund already paid) [u]; Kangwon Land fell 3% vs Paradise 23% in the levy week

What has to go right

- Carve-out from the 15% tourism-levy bracket, or a cost below ~KRW30bn a year
- AML due-diligence rule modified (thresholds) rather than applied to every chip purchase
- FY26 DPS ≥KRW850 and Value-Up 2.0 (Feb-27) keeps total return ≥60%
- 7.36% treasury stake cancelled by the Commercial Act deadline
- K-HIT phased with IRR hurdles; net financial assets ≥KRW2tn through 2030

Position sizing: value / event-driven, medium conviction. Build a full position over 4-6 weeks (liquidity ~KRW4.8bn a day [e]). Add on 3Q26 (late Oct-early Nov), levy carve-out confirmation, FY26 DPS ≥KRW850 or a treasury-cancellation resolution. Optional pair: long Kangwon Land / short Paradise or Lotte Tour isolates the levy carve-out and the net-cash floor from China VIP and won risk.

Kangwon Land at a glance - a state-owned domestic monopoly whose biggest partner is the government

What it does

- **High1 Resort**, Jeongseon (Gangwon): the only one of Korea's 17 casinos open to Korean nationals, under the 1995 Special Act on abandoned mine areas (extended to 31-Dec-2045)
- 200 tables and ~1,360 machines (permit to 250 / 1,610 with the second casino, ~2028); ~1,850 rooms [e], of which 757 are under renovation to Nov-27 / Apr-28; ski, golf, water park
- FY25: revenue KRW1.48tn (~87% casino), OP KRW235bn, NP KRW316.5bn; ~2.4m casino visits a year [e]
- **Government take KRW603bn = 42% of gaming sales:** tourism fund 10% + mine fund 13% of casino sales + taxes
- Control: public bodies 51.01% (KOMIR 36.27%, Jeongseon, Gangwon, Samcheok, Taebaek, Yeongwol); treasury 7.36%; free float ~41.6%

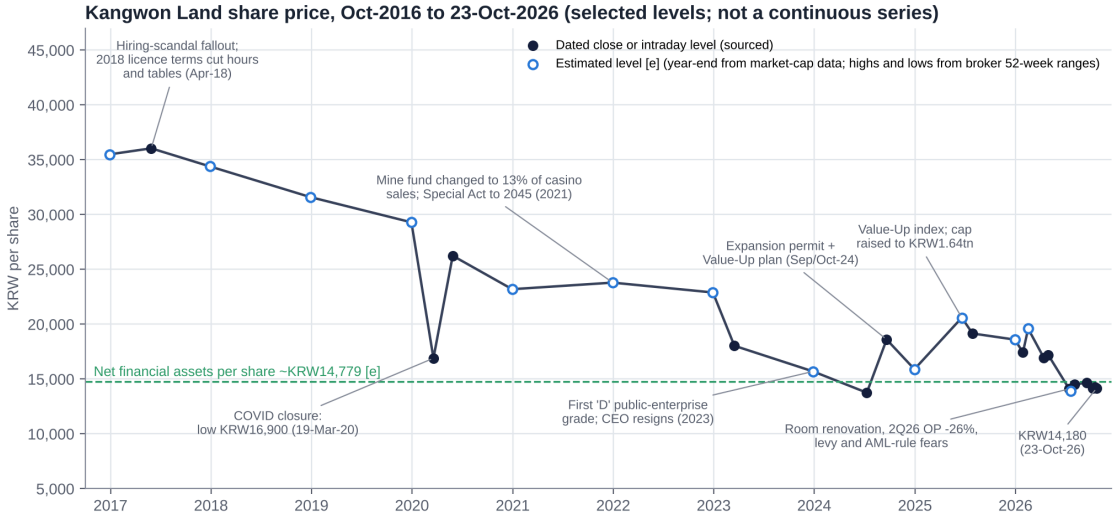
Revenue and operating profit (KRW bn)

	FY23	FY24	FY25	1H26	FY26E
Revenue	1,388.6	1,426.9	1,476.7	724.5	1,454.5
Growth	+9.3%	+2.8%	+3.5%	−0.4%	−1.5%
Operating profit	282.3	285.8	235.2	112.1	201.1
OP margin	20.3%	20.0%	15.9%	15.5%	13.8%
Net profit	341.0	456.7	316.5	140.0	248.0
DPS (KRW)	930	1,170	950		850E
Total return (payout + buybacks)	55%	60.1%	62.6%		≥60% target

Consolidated. FY24 NP includes ~KRW123bn of VAT refunds; 2Q26 NP includes a KRW97.3bn valuation gain. FY26E ours. Source: company results via press, brokers.

The single most distinctive fact: Kangwon Land holds ~KRW2.9tn of net financial assets [e], more than its KRW2.81tn market cap. The market is paying nothing for the only legal casino for 52 million Koreans, which earned ~KRW305bn of EBITDA in the last 12 months even after the State took 42% of gaming sales.

Hours cut (2018), mine-fund change (2021), D grade (2023), levy and AML scares (2026): −60% in ten years [e]



Key catalysts

2018	Licence renewal cuts hours by two and tables 180 → 160; hiring-scandal fallout
MAR-2021	Special Act to 2045; mine fund changed to 13% of casino sales
JUN-2023	First 'D' grade; CEO resigns (Nov/Dec); ~32 months of acting CEOs
SEP/OCT-2024	Expansion permit + Value-Up plan: +35% rally
MID-2025	Value-Up index; VIP limits 10x; 2025 high ~KRW20,600 [u]
JUL-2026	Levy (15%) and AML proposals; peers −11% to −15% in a day
AUG-2026	2Q26 OP −26%; targets cut; ex-general CEO elected
OCT-2026	Flat at ~KRW14,200; below net financial assets per share

No single-day move above 10% found in five years (largest +5.7%, May-2020). Peak-to-trough −28% Feb-Jul 2026; 1-year −26% [u] vs KOSPI ~+82% [e]. Chart joins sourced dated levels with estimated year-end levels [e]; not a continuous series.

On every enterprise-value measure it is free; on P/E it looks only fair - because half of profit is interest

Metric	Kangwon Land	Paradise	GKL	Genting Sing.	GENM	Sands China	Galaxy	MGM China	NagaCorp	Median (31)
TEV/Sales	−0.08x	1.66x	0.33x	1.81x	1.56x	2.23x	2.71x	1.45x	1.64x	1.81x
TEV/EBITDA (LTM)	n.m.	9.6x	1.7x	5.6x	8.1x	8.5x	10.1x	6.2x	2.6x	8.0x
TEV/EBITDA (NTM)	n.m.	7.5x	1.6x	5.1x	6.6x	7.8x	9.2x	5.2x	3.1x	7.5x
P/E (LTM)	8.8x	11.6x	11.2x	23.5x	23.1x	13.4x	13.7x	8.2x	4.5x	13.6x
P/E (NTM)	10.1x	9.8x	9.3x	17.0x	14.9x	11.3x	13.2x	8.3x	5.1x	10.7x
EBITDA margin	20.7%	17.4%	19.8%	32.4%	19.2%	26.3%	26.9%	23.5%	61.9%	24.6%
EBIT margin	14.6%	10.8%	12.4%	15.4%	8.6%	16.3%	19.2%	17.1%	46.5%	12.6%
Net debt/EBITDA	−9.6x	3.0x	−4.3x	−3.7x	5.6x	2.7x	−0.8x	1.7x	−0.8x	4.4x
Dividend yield	6.7%	1.5%	4.9%	6.6%	5.5%	6.5%	4.5%	6.8%	3.3%	1.1%

S&P Capital IQ, 16-Oct-2026 (LTM to 30-Jun-2026); Kangwon Land TEV/Sales at KRW14,180 is our calculation. Median of 31 listed casino peers, ex-Kangwon Land.

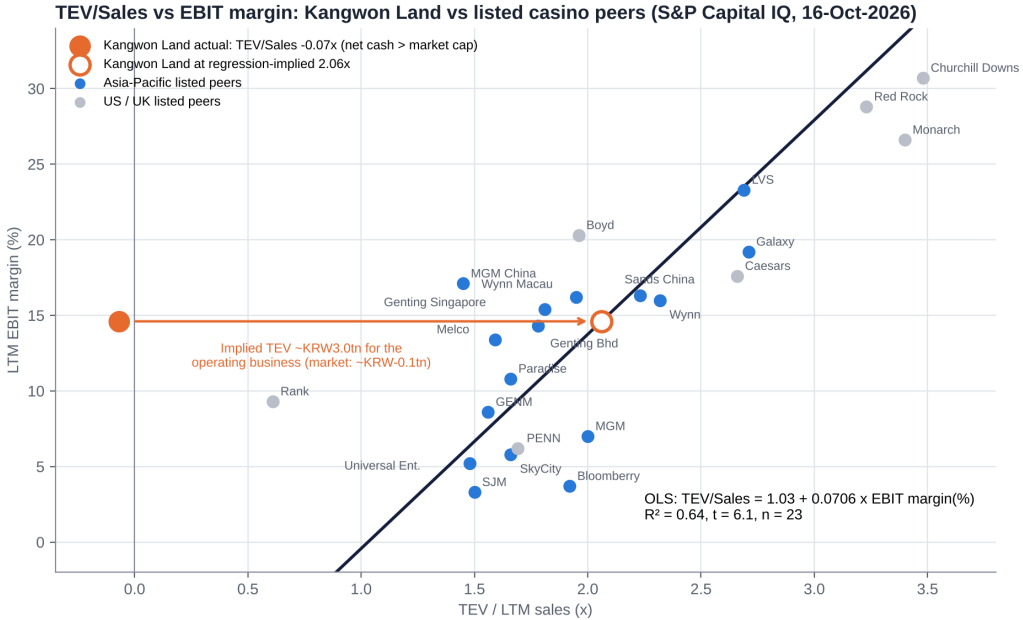
What the comparison shows

- Negative EV: net financial assets ~KRW2.93tn [e] vs market cap KRW2.81tn. After a KRW0.4tn reserve, operations are valued at ~0.9x EBITDA
- Ex-cash P/E on FY27E operating NOPAT is ~1.8x [e]; the EBIT margin (14.6%) is above the peer median (12.6%) even after a 42% government take
- P/B ~0.74x [u] (2015: 2.60x) and a 6.7% yield, the top of its ten-year range

The honest counter-read

- P/E (8.8x LTM, 11.3x FY26E ours) is only in line with peers: ~45% of pre-tax profit is financial income and valuation gains
- The cash is not fully the minority's: K-HIT targets ~KRW3tn of capex to 2035, and the State can redirect cash by levy or mandate
- Growth is below peers (LTM +1.8% vs +6.0%) and OP falls in FY26E (−15%) during the renovation

Regression: peers with a 14.6% EBIT margin trade at ~2.1x sales - Kangwon Land's operating business trades at zero



OLS: TEV/Sales = 1.030 + 0.0706 x EBIT margin (%), R² = 0.64. EBITDA-margin cross-check R² 0.67. Source: S&P Capital IQ (16-Oct-2026), our calculations.

How to read it

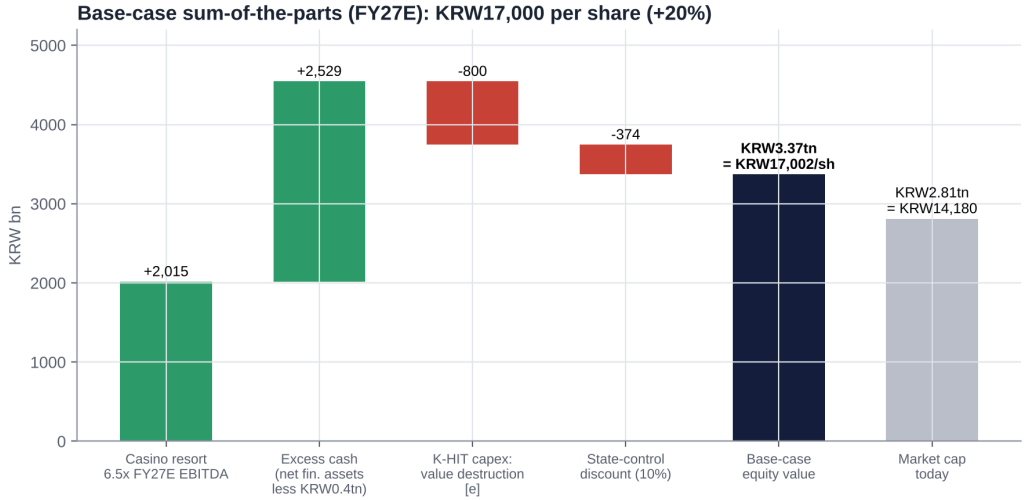
- Kangwon Land at −0.07x TEV/Sales (orange) sits far left of every peer: net cash exceeds market cap
- OLS implies **2.06x** at its 14.6% LTM EBIT margin, ~KRW3.0tn for operations, or **KRW28,100-30,100 a share** with the cash
- Slope 0.071x per point of EBIT margin; R² 0.64, t = 6.1 (n = 23 core peers; net-cash, negative-EBIT, micro-cap and double-count names excluded)
- **Even halving the implied operating value gives KRW20,400-22,400** (+44% to +58%)
- We do not use the regression as a target: peers are not state-controlled single-site monopolies with a 2045 sunset

Sum-of-the-parts: KRW17,000 per share in the base case, after charging KRW0.8tn for K-HIT and a 10% state-control discount

Base-case SOTP (KRW bn)

Component	Method	KRW bn
Casino resort operations	6.5x FY27E EBITDA (310)	2,015
Net financial assets	S&P CIQ-derived [e]	2,929
Operating reserve	Accrued levies, payables, float [e]	(400)
K-HIT value destruction	~KRW3tn capex below cost of capital [e]	(800)
State-control discount	−10% of equity	(374)
Equity / per share	**198.2m shares outstanding**	**3,370 / KRW17,000**
Market cap today	KRW14,180	2,810

- Implied P/B 0.88x; implied 6.5x EV/EBITDA on operations vs 7.4x Asia-Pac peers and a 9.2x deal median
- Each 1x on the operating multiple = ~KRW1,410 a share; each KRW0.5tn of K-HIT charge = ~KRW2,270
- Market-implied: KRW14,180 charges the entire excess cash pile (~KRW2.5tn) to future value destruction



~KRW2.9tn of net financial assets: still above KRW2tn in 2030 even with K-HIT ramping

~KRW2.93tn
Net financial assets [e] (S&P CIQ net debt/EBITDA ~9.6x); ~KRW2.8tn current financial assets (IB Tomato, Oct-26)

KRW14,780
Net financial assets per share [e]: 104% of the price

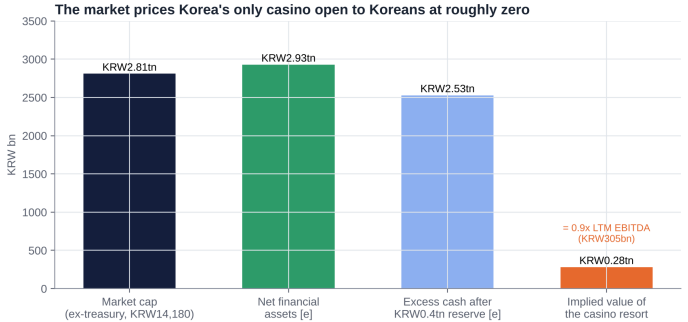
466%
Current ratio; liabilities/equity 18%; no meaningful debt

~KRW3tn
K-HIT master plan to 2035 (Nov-25): 13m visitors, KRW3.5tn revenue targeted; feasibility exemption sought

KRW2.17tn
Our 2030E net financial assets after K-HIT ramp, dividends and buybacks [e]

Cash path, base case (KRW tn) [e]

	2026E	2027E	2028E	2029E	2030E
Operating cash flow	0.33	0.33	0.35	0.36	0.37
Capex (renovation, second casino, K-HIT)	(0.15)	(0.25)	(0.30)	(0.40)	(0.45)
Dividends paid	(0.19)	(0.17)	(0.17)	(0.18)	(0.19)
Buybacks	(0.05)	-	-	-	-
Year-end net financial assets	**2.88**	**2.79**	**2.67**	**2.44**	**2.17**



Cash and equivalents only KRW162bn (Sep-25): the rest is in short-term financial instruments and funds whose composition is not disclosed in our sources (a diligence item). 1H26 operating cash flow was negative (timing of levies, taxes and bonuses).

Earnings trough in 2026-27 during the renovation; consensus still ~17% too high on operating profit

Estimates (KRW bn)

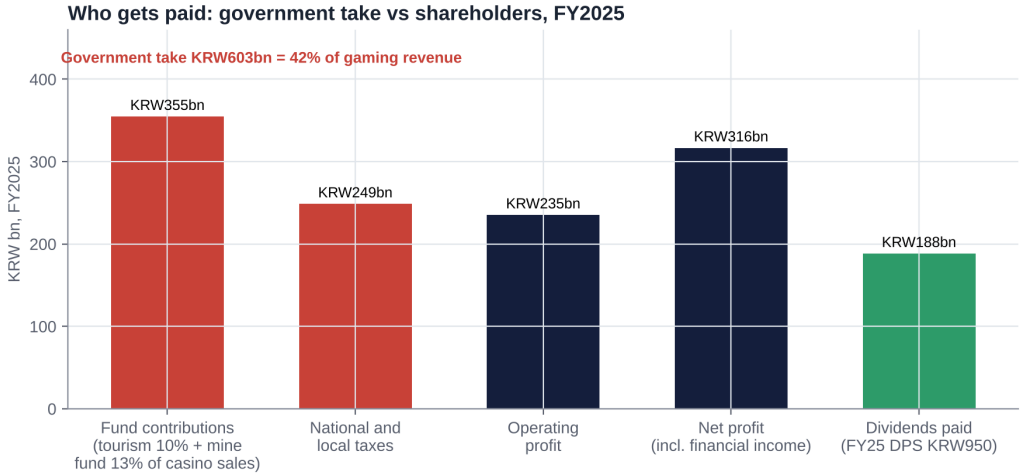
	FY25A	FY26E	FY27E	FY28E
Revenue	1,476.7	1,454.5	1,480	1,560
Operating profit	235.2	201.1	215.0	245.0
Consensus OP (May-26)	-	246.5	260.2	-
Net profit	316.5	248.0	244.2	262.7
EPS (KRW)	1,597	1,252	1,232	1,326
Consensus EPS (KRW)	-	1,423	1,487	-
DPS (KRW)	950	850	870	920
P/E at KRW14,180	8.9x	11.3x	11.5x	10.7x

Our estimates [e]; consensus Hana (4-May-26), pre-2Q26. Targets were cut 14-18% in August, so consensus has likely fallen.

2Q26 (4-Aug-26) and what comes next

- Revenue −4.2%, OP −26.2% (12% below consensus [u]), NP +59.8% on a KRW97.3bn valuation gain
- Casino visits −3.3%; VIP visits +18% but revenue −7.6% (hold); non-gaming −12.3% with 757 rooms offline
- Fixed costs amplify: revenue −4% became OP −26% (Kiwoom)
- 3Q26 preview (iM, 23-Oct): OP KRW64.2bn vs consensus KRW67.2bn; target cut to KRW18,000
- **Recovery in 2028:** condo (Nov-27) and hotel (Apr-28) reopen; second casino (+25% tables) completes Dec-27; VIP limits already lifted drop +46%

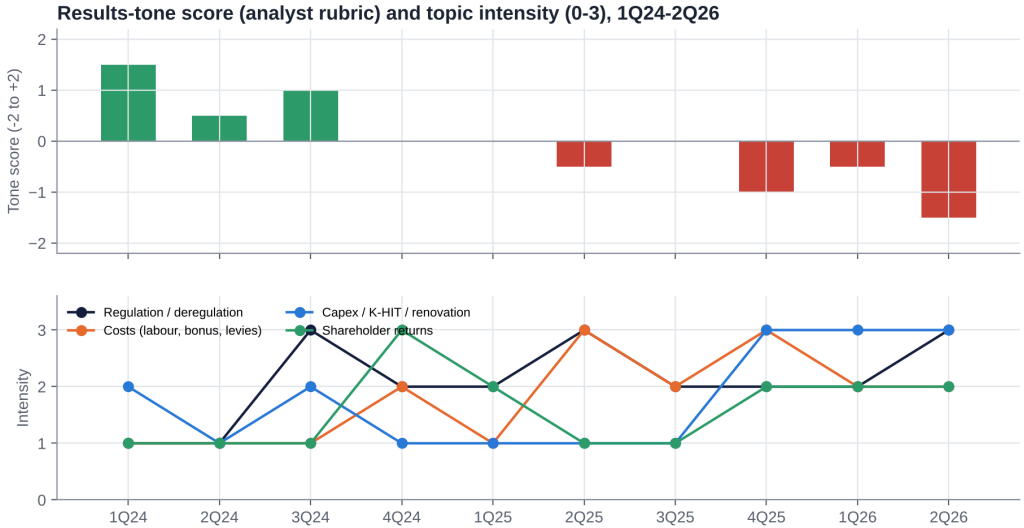
The State takes 42% of gaming sales before shareholders see a won - and it changed the rules in 2021



Why margins fell - and what could turn

- **2021 mine-fund change:** from 25% of profit (~KRW140bn) to 13% of casino gross sales (~KRW200bn), payable even in a loss year; bought the licence extension to 2045
- **OP margin** ~30-35% pre-2021 [u] → 20% (FY23-24) → 14.6% (LTM): labour and bonus creep, D&A, donations, renovation
- **Proposed 15% tourism bracket** (sales >KRW300bn per venue [u]): ~KRW56bn a year if applied [e]; the MCST indicated a carve-out [u]
- **AML rule:** management estimates −25.8% revenue (~KRW330bn); the National Assembly trade-committee chair wants it modified
- **Upside levers:** time-based entry, mass bet limit KRW300k → 1m, longer hours (the President ordered a review, Dec-25)

Tone moved from 'deregulation and Value-Up' (2024) to 'renovation, levies and AML' (2026)



No transcripts available; S&P Capital IQ and ProntoNLP not connected. Scores use a disclosed four-part rubric applied to results releases and press and broker coverage, 1Q24-2Q26.

What management is focused on

- Capex: renovation, second casino, K-HIT (~KRW3tn) and a feasibility-study exemption
- Regulatory reform year: entry rules, bet limits, hours; fighting the AML proposal
- Value-Up delivery (total return 60.1% FY24, 62.6% FY25)

Management

- **Kim Do-kyun** (CEO since 2-Sep-26): retired army general, ex-Capital Defense commander; DP Gangwon chair; no casino experience
- **Yoo Jeong-bae** (VP): ex-Korea Coal Corp president
- ~32 months of acting CEOs (Dec-23 to Sep-26); 'C' grades FY24-25; Organisational Diagnosis and Innovation Committee to Dec-26

Over-capitalised and under-distributed: capital allocation is the thesis

~KRW2.93tn
Net financial assets [e]; ~9.6x EBITDA; no debt

62.6%
FY25 total return (DPS KRW950, payout 59.2%, plus buybacks); Value-Up target ≥60%

7.36%
Treasury shares (~15.75m); none cancelled; Aug-26 EGM allowed retention or sale

~KRW3tn
K-HIT to 2035 vs ~KRW145bn a year of capex today

Capital-allocation record

- **Good:** first SOE Value-Up plan (Oct-24), met two years; expansion permit and higher VIP limits; no debt
- **Poor:** regional subsidiaries (Sangdong 82% impaired, High1 Entertainment 83% impaired, Choo Choo Park never profitable); O2 Resort donation (directors held liable)
- **Poor:** K-HIT escalated from KRW2.5tn to ~KRW3tn with no IRR; treasury shares bought (KRW77bn) but not cancelled
- **Leakage:** bonus culture tied to SOE grades; >KRW100bn a year of comps; donations below OP

Priorities we would push for

- 1. Return ~KRW1tn over FY27-29 (~KRW5,000 a share) via special dividends and buybacks with cancellation
- 2. Cancel the 7.36% treasury stake at the Mar-27 AGM
- 3. Value-Up 2.0: payout ≥70%, DPS floor KRW1,000, buybacks when P/B <1x
- 4. K-HIT: phase-by-phase IRR ≥8%, full feasibility study, ~KRW1.5tn cap until returns proven
- 5. Link pay to ROIC and TSR

Not control - capital return: the controller needs cash, and the 2025-26 Commercial Act gives minorities real votes

51.01%
Public bodies (legal floor 51%); KOMIR 36.27% capped at 3% in audit-committee elections

~41.6%
Free float (NPS ~6.1% [u], foreigners ~12% [u], from ~30% in 2020)

~55%
Share of every dividend that goes to public bodies (KOMIR 39%, municipalities and Gangwon ~16%)

0
Activist-fund campaigns ever; only civic groups (Solidarity for Economic Reform, Aug-26 EGM)

Why activism could work here

- Cumulative voting mandatory from 10-Sep-26 (assets ≥KRW2tn): 41.6% float can concentrate votes on a minority nominee [e]
- 3% cap: KOMIR votes 3%; other public holders ~14.75% (if not related parties [u]) vs a 41.6% float in audit-committee elections [e]
- Treasury retention needs annual shareholder approval; the deadline forces a decision by ~Sep-27 [e]
- Quantifiable gap: casino valued at ~0x EBITDA; KOMIR's own balance sheet argues for payouts
- Precedent: outside directors held personally liable for a value-destroying donation (Supreme Court, 2019)

Where the limits are

- 51% statutory public floor: no proxy fight for control
- MOEF appoints non-standing directors; interplay with the Commercial Act untested [u]
- Ruling-party CEO; regional politics favour K-HIT spending over dividends
- Liquidity ~KRW4.8bn a day [e]: a 5% stake (~KRW150bn) takes ~160 trading days at 20% of volume
- Few like-minded holders today; NPS is the swing vote

What an activist would ask for: (1) ~KRW1tn returned over FY27-29; (2) cancel the 7.36% treasury stake; (3) Value-Up 2.0 with payout ≥70% and a KRW1,000 DPS floor; (4) K-HIT stage-gates with published IRRs; (5) a minority-nominated director and audit-committee member via cumulative voting and the 3% rule. Target the Feb-27 Value-Up 2.0 and the Mar-27 AGM through a quiet coalition (NPS, domestic value funds, civic groups).

No - the law fixes 51% in public hands; the events that matter are payout, treasury cancellation and K-HIT scope

Realistic corporate events (12-24 months)

Event	Likelihood	Effect on minorities
Higher payout / special dividend (Value-Up 2.0, Feb-27)	Medium-high	Positive: returns excess cash
Treasury cancellation (7.36%) by ~Sep-27	Medium	Positive signal
K-HIT rescoped after the CEO's committee (Dec-26)	Medium	Positive: protects cash
KOMIR stake transfer or cash used for Korea Coal debt [u]	Low-medium	Negative if outside dividends
Second Korean-access casino (Saemangeum special act)	Low	Negative for the monopoly

Comparable control deals (S&P CIQ): median 9.2x EV/EBITDA (n=10); land-based casinos 9-11x (Crown 11.2x, Golden 9.8x, Caesars 9.1x).

What deal multiples say about the operating business

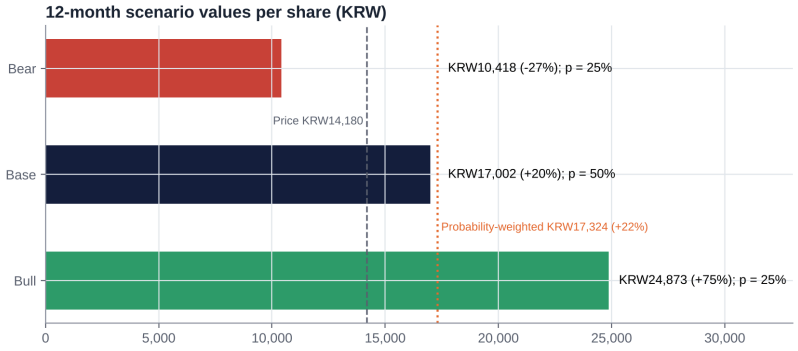
TEV / FY26E EBITDA (KRW293bn)	6.0x	8.0x	9.2x	10.0x
Operations (KRW tn)	1.76	2.34	2.70	2.93
+ excess cash KRW2.53tn = equity (KRW tn)	4.29	4.87	5.23	5.46
Value per share (KRW)	21,630	24,590	26,360	27,540
Premium to KRW14,180	+53%	+73%	+86%	+94%

Theoretical: no takeover is legally possible. Ignores the K-HIT charge and the state-control discount used in our SOTP.

- Even at a 6x deal-style multiple the business plus excess cash is worth ~KRW21,600 a share
- The gap to the price is the market's charge for value destruction and political leakage

Asymmetric: −27% bear vs +75% bull; probability-weighted KRW17,300 (+22%) plus ~6% yield

	Bear (25%)	Base (50%)	Bull (25%)
Regulation	15% levy applies (~KRW56bn); AML partly enforced	Levy carve-out or diluted; AML modified	Carve-out; deregulation; second casino on time
EBITDA basis / multiple	KRW240bn / 5.0x	KRW310bn (FY27E) / 6.5x	KRW345bn (FY28E) / 8.0x
Excess cash (after KRW0.4tn reserve)	KRW2.53tn	KRW2.53tn	KRW2.63tn
K-HIT NPV; state-control discount	−KRW1.3tn; 15%	−KRW0.8tn; 10%	−KRW0.2tn; 5%
FY26E DPS	KRW650-700	KRW850	KRW950-1,000
Implied P/B	0.54x	0.88x	1.29x
Per share	**KRW10,400 (−27%)**	**KRW17,000 (+20%)**	**KRW24,900 (+75%)**



- Downside support: net financial assets ~KRW14,780 a share; even the bear case keeps ~KRW1.2tn of cash after K-HIT losses
- Sensitivities: +1x operating multiple = +KRW1,410; KRW0.5tn less K-HIT charge = +KRW2,270; levy applied = −KRW1,650; full AML = −KRW5,900 [e]
- Expected total return ~28% (price +22% plus ~6% yield)

The levy and AML decisions, the K-HIT review and Value-Up 2.0 decide the next two quarters

~28-OCT TO 4-NOV-26 [E]	**3Q26 results**	iM: OP KRW64.2bn vs consensus KRW67.2bn; drop and cash flow	HIGH
NOV-DEC 2026	**Tourism Promotion Act / levy decree**	Carve-out for Kangwon Land vs a 15% bracket (~KRW56bn a year)	CRITICAL
NOV-DEC 2026	**FIU AML due-diligence decision**	Up to ~26% revenue risk (company estimate)	CRITICAL
BY 31-DEC-26	**Organisational Diagnosis and Innovation Committee**	K-HIT rescoping vs acceleration	HIGH
DEC-26	**NGCC 2027 sales cap; 2027 budget**	Headroom; capex trajectory	MEDIUM
~LATE FEB-27	**FY26 DPS and Value-Up 2.0 (FY27-29)**	Payout policy; dividend-tax qualification	CRITICAL
MAR-27	**AGM**	Cumulative voting, audit-committee vote (3% cap), treasury retention	HIGH
JUN-27	**Public-enterprise evaluation (FY26)**	Bonuses; CEO standing	MEDIUM
~SEP-27 [E]	**Treasury cancellation deadline**	Cancel 7.36% or seek annual retention	HIGH
NOV-27 TO APR-28	**Condo, second casino, hotel reopen**	2028 earnings recovery	HIGH
ANY TIME	**Saemangeum / 'public casino'; KOMIR restructuring**	Exclusivity; cash diversion	MEDIUM

What would make this thesis wrong

01 AML customer due diligence

Full ID checks on every chip purchase: company estimate −25.8% revenue (~KRW330bn); players pushed to illegal online (KRW95.9tn market)

02 Cash spent, not returned

K-HIT ~KRW3tn to 2035 at a remote site; feasibility exemption sought; political CEO; history of 80%+ impaired regional projects

03 Levies and taxes

15% tourism bracket (~KRW56bn a year if applied); the State already takes 42% of gaming sales and changed the mine fund in 2021

04 Exclusivity and sunset

'Public casino' / Saemangeum IR with Korean access would need a special act; the Special Act sunsets in 2045

05 Earnings and costs

Renovation until 2028; labour and bonus creep ('195% bonus' criticism [u]); ~45% of pre-tax profit is financial income

06 Governance and liquidity

Treasury retention allowed (Aug-26); untested interplay of the Commercial Act with public-institution rules; ~KRW4.8bn a day traded

INVESTMENT COMMITTEE DECISION

Recommendation: BUY (value / event-driven)

KRW17,000
12-mo target (+20%)

~0.9x
EBITDA paid for the casino after a cash reserve

104%
Net financial assets per share vs price [e]

KRW17,300
Probability-weighted (bear KRW10,400)

- Korea's only casino open to Koreans (licence to 2045) at a negative enterprise value: net financial assets of ~KRW2.93tn [e] exceed the KRW2.81tn market cap
- The controller (KOMIR, −KRW3.16tn equity) needs dividends; public bodies receive ~55% of payouts; Value-Up total return ≥60% met two years running
- New minority levers from the 2025-26 Commercial Act (cumulative voting, 3% audit cap, treasury cancellation) meet Value-Up 2.0 (Feb-27) and the Mar-27 AGM
- Main risks: the AML rule, K-HIT capex, levies and a political CEO. Hence medium conviction, SOTP charges for K-HIT and hard triggers

Sizing and monitoring

Value / event-driven, medium conviction. Build a full position over 4-6 weeks; add on 3Q26, levy carve-out confirmation, FY26 DPS ≥KRW850 or a treasury-cancellation resolution. Consider joining a quiet coalition (NPS, domestic value funds) ahead of Value-Up 2.0 and the Mar-27 AGM.

Hard review triggers: AML rule enacted unmodified; a legislated Korean-access casino; FY26 DPS below KRW700 or payout below 50%; K-HIT exempted with no IRR disclosure; treasury shares sold to a related party.

Track: 3Q26 (late Oct-early Nov), levy decree and FIU decision (Nov-Dec), K-HIT committee (Dec), Value-Up 2.0 and DPS (Feb-27), AGM (Mar-27).